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FWD Group Holdings Limited

富衛集團有限公司

(Incorporated in the Cayman Islands with limited liability)

Stock code: 1828

Annual results for the year ended 31 December 2025

FWD Group delivers record full year 2025 results with profitable growth, improved capital and cash flow generation

US$166 million net profit is a six-fold increase; significant growth in shareholder value creation with comprehensive tangible equity up 18 per cent and Group embedded value up 19 per cent*

Hong Kong, 16 March 2026 – FWD Group Holdings Limited ("FWD Group" or "FWD") today announced its first set of full-year results as a Hong Kong listed company for the 12 months ended 31 December 2025.

- **New business sales were up 25 per cent to US$2.446 billion compared to 2024 on an annualised premium equivalent (APE) basis. New business contractual service margin (CSM) was US$1.476 billion, with year-on-year growth of 18 per cent.**
- **Operating profit after tax was up five per cent to US$499 million with positive contributions from each of the company's four geographic reporting segments – Hong Kong SAR & Macau SAR; Thailand & Cambodia; Japan; and Emerging Markets.**
- **Net profit of US$166 million is a record IFRS 17 result and for the second consecutive year, FWD Group was operating cash flow positive as at 31 December 2025. Leverage ratio reduced to 21.3 per cent approaching the company's target range of 15-20 per cent.**
- **Significantly increased important indicators of shareholder value creation, with comprehensive tangible equity (CTE) up 18 per cent to US$8.72 billion compared to 31 December 2024 and Group embedded value (EV) up 19 per cent year-on-year to US$6.85 billion. A strong capital position was maintained with a 265 per cent solvency ratio^.**
- **In December 2025, FWD Group was added to the Hang Seng Composite Index and the eligible securities list for the Stock Connect programme, where Mainland Chinese investors connect via the Shanghai Stock Exchange and Shenzhen Stock Exchange with Hong Kong market opportunities via a southbound trading mechanism. FWD Group was also included in the MSCI Hong Kong Small Cap Index in February 2026.**

Huynh Thanh Phong, Group Chief Executive Officer and Executive Director of FWD Group, said, "2025 was a stand-out year for FWD Group. We successfully executed our customer-led strategy, underpinned by our digitally enabled business model. Record financial results were achieved. And of course, we began trading as a publicly listed company, following our July 2025 initial public offering. This fulfilled a long-held objective to ensure FWD Group has full capital market access, as a solid foundation for our future development and growth."

The strong 2025 results were driven by organic growth across most of the 10 Asian markets where FWD Group operates, with a particularly outstanding performance in the Hong Kong SAR & Macau SAR segment.

A solid performance was posted in Japan, in a year where FWD began to diversify beyond its successful protection business into the retirement and savings segment, with its first offering – a yen-denominated single premium variable annuity product.

As an established market leader in Thailand, FWD remains well positioned to grow quality new business in future, despite headwinds from a lower rate environment which impacted 2025 results, in addition to the 2024 exit from underwriting new business in the corporate care segment.

Excellent growth was delivered in the Emerging Markets segment – which is comprised of five of the rest of FWD Group's Southeast Asian markets – consistent with the longer-term demographic, wealth creation, and digital adoption trends in this region.

"With 2026 already underway, we remain firmly focused on executing our strategy as we build for the future – operating with customers at the heart of everything we do in high-growth Asian markets, with a focus on long-term sustainability and profitability," added Huynh Thanh Phong.

About FWD Group

FWD Group (1828.HK) is a pan-Asian life and health insurance business that serves more than 38 million customers across 10 markets, including BRI Life in Indonesia. FWD's customer-led and tech-enabled approach aims to deliver innovative propositions, easy-to-understand products and a simpler insurance experience. Established in 2013, the company operates in some of the fastest-growing insurance markets in the world with a vision of changing the way people feel about insurance. FWD Group is listed on the main board of the Hong Kong Stock Exchange under the stock code 1828.

For more information, please visit www.fwd.com

The results are for the 12 months ended 31 December 2025 and are compared to the same period in 2024.

Group LCSM cover ratio, group embedded value, comprehensive tangible equity values are December 2025 balances/ratios and growth rates are represented accordingly.

Growth rates are represented on a constant exchange rate (CER) basis, unless otherwise stated

Except for operating profit/(loss) after tax (non-IFRS measure), net profit/(loss), and comprehensive tangible equity, all other numbers are unaudited. Operating profit after tax and net profit after tax represent the amounts attributable to equity holders of the company and are presented net of non-controlling interests. New business sales are calculated on an annualised premium equivalent (APE) basis, based on 100 percent annualised first year premiums and 10 percent single premiums. Comprehensive tangible equity is calculated as total equity of the Group attributable to shareholders of the Company plus contractual service margin (net of tax and non-controlling interests), minus intangible assets (net of non-controlling interests).

* Actual exchange rate basis

^ Prescribed capital requirement (PCR) basis

Chief Financial Officer report

In 2025, FWD Group delivered record financial performance, reflecting a disciplined balance between growth, profitability, and risk management, reinforcing our commitment to sustainable long-term value creation for shareholders. In July, we achieved a significant milestone with the successful completion of the Group's IPO, which raised HK$3,611 million (approximately US$466 million), further strengthening the Group's capital position and enhancing financial flexibility.

Growth

Our growth in 2025 was underpinned by a strong distribution performance and product innovation across markets. New business sales (APE) reached US$2,446 million, representing a 25 per cent increase compared to 2024. This growth was broad-based, with Hong Kong & Macau delivering an outstanding 51 per cent increase, supported by our balanced customer portfolio which includes our HNW offering, FWD Private.

The expansion of new business contractual service margin (NB CSM) to US$1,476 million — up 18 per cent year-on-year — reflects improved operating leverage and APE growth. Value of new business (VNB) grew to US$945 million, an increase of 11 per cent. NB CSM and VNB in 2025 were impacted by economic factors (including lower interest rates in Thailand), tax regulatory changes and operating assumption changes at year-end 2024. Adjusting for these factors, NB CSM and VNB in 2025 grew 25 per cent and 23 per cent, respectively.

Profitability

The Group's profitability in 2025 reflects the strength of our operating model and disciplined execution. Operating profit after tax (OPAT)[1] was US$499 million, driven by higher contractual service margin (CSM) release. The CSM balance increased by 24 per cent to US$6,562 million as at 31 December 2025, supported by strong new business growth and improved operating variances. All four segments remained profitable during the year, underscoring the sustainability of the Group's growth.

Net profit after tax (NPAT)[2] under IFRS 17 reached a record US$166 million for the year ended 31 December 2025, exhibiting the continued maturity of the Group. Disciplined expense control was a key contributor to both the record net profit achieved under IFRS 17 and expense overrun improvement.

Value

Our commitment to creating sustainable shareholder value is reflected in the strong growth of both Group CTE and EV during 2025. CTE increased to US$8,717 million which grew 18 per cent from US$7,162 million as at 31 December 2024. EV increased to US$6,850 million which grew 19 per cent year-on-year, up from US$5,569 million at the end of 2024. This increase in shareholder value was driven by robust new business growth, improved operating variances and assumption changes, and disciplined asset liability management.

Risk & Capital

Solvency capital remains strong at 265 per cent solvency ratio (LCSM cover ratio on a PCR basis) as at 31 December 2025. Remittances from operating entities exceeded US$500 million, with Thailand delivering a record amount.

Net underlying free surplus generation (net UFSG) in 2025 was US$857 million and increased by 20 per cent from 2024, primarily from improvement in operating variances and free surplus uplift from reinsurance transactions as we continue to optimise capital and free surplus generation.

Our Group LCSM ratios will change following the adoption of the Japan regulatory solvency rules change which is moving to the Economic value-based Solvency Regulation (ESR) effective on 31 March 2026. We are supportive of the change in the Japan regime to ESR as the economic principles underpinning it aligns with our risk management approach in running the Group's business. As at 31 December 2025, the Japan business solvency ratio reduced from 1,622 per cent under the Solvency Margin Ratio (SMR) basis to 194 per cent under

[1] Operating profit after tax represents the amounts attributable to Equity Holders of the Company, and is presented net of non-controlling interests.
[2] Net profit after tax is profit attributable to Equity Holders of the Company, and is presented net of non-controlling interests.

Management discussion and analysis

Growth rates are on a constant exchange rate (CER) basis, unless otherwise stated, and figures may not be additive due to rounding.

Growth

New business performance by segment

US$ millions, except for percentages	2025	2024	CER YoY	AER YoY
Annualised premium equivalent (APE)				
Hong Kong & Macau	**1,207**	802	**51%**	51%
Thailand & Cambodia	**577**	577	**(6%)**	—
Japan	**132**	118	**11%**	12%
Emerging Markets	**529**	420	**27%**	26%
Total APE	**2,446**	1,916	**25%**	28%
New business contractual service margin (NB CSM)				
Hong Kong & Macau	**684**	418	**64%**	64%
Thailand & Cambodia	**358**	398	**(16%)**	(10%)
Japan	**213**	192	**10%**	11%
Emerging Markets	**221**	214	**4%**	3%
Total NB CSM	**1,476**	1,222	**18%**	21%
NB CSM margin				
Hong Kong & Macau	**57.0%**	52.6%	**4.4 pps**	4.4 pps
Thailand & Cambodia	**62.3%**	65.5%	**(3.2) pps**	(3.2) pps
Japan	**161.1%**	162.7%	**(2.0) pps**	(1.6) pps
Emerging Markets	**43.0%**	52.6%	**(9.5) pps**	(9.5) pps
Total NB CSM margin	**61.0%**	63.4%	**(2.5) pps**	(2.4) pps
Value of new business (VNB)				
Hong Kong & Macau	**478**	333	**44%**	44%
Thailand & Cambodia	**242**	278	**(18%)**	(13%)
Japan	**86**	88	**(4%)**	(2%)
Emerging Markets	**145**	136	**7%**	7%
Operating entities total	**951**	834	**11%**	14%
Less: Global minimum tax provision	**(7)**	n/a	**n/a**	n/a
Total VNB	**945**	834	**11%**	13%
New business margin				
Hong Kong & Macau	**39.6%**	41.5%	**(1.9) pps**	(1.9) pps
Thailand & Cambodia	**42.0%**	48.1%	**(6.2) pps**	(6.2) pps
Japan	**64.9%**	74.5%	**(9.7) pps**	(9.6) pps
Emerging Markets	**27.5%**	32.3%	**(5.0) pps**	(4.9) pps
Operating entities total	**38.9%**	43.5%	**(4.8) pps**	(4.6) pps
Less: Global minimum tax provision	**nm**	n/a	**n/a**	n/a
Total new business margin	**38.6%**	43.5%	**(5.1) pps**	(4.9) pps

Hong Kong & Macau

Hong Kong & Macau APE increased by 51 per cent to US$1,207 million in 2025. Onshore and offshore APE grew by 58 per cent and 44 per cent, respectively, compared to 2024. Our Hong Kong & Macau segment continues to focus on its multi-channel distribution strategy with strong sales growth across all channels.

FWD Private, our HNW offering serving the global high-end insurance market with diversified asset allocation, wealth management and legacy planning, has continued to contribute to new business growth, with approximately 25 per cent contribution to total Hong Kong & Macau APE growth.

NB CSM was up 64 per cent to US$684 million in 2025, driven by APE growth and NB CSM margin increase of 4.4 pps to 57.0 per cent, mainly from higher acquisition expense underrun.

VNB increased by 44 per cent to US$478 million in 2025, primarily driven by growth in new business sales. New business margin decreased by 1.9 pps to 39.6 per cent compared to 2024, mainly driven by higher risk discount rates and adjusting for this, new business margin in 2025 was broadly in line with prior year.

Thailand & Cambodia

Thailand & Cambodia APE was partly impacted by the exit from underwriting new business in the Thailand corporate care sector in late 2024. This partly contributed to the 6 per cent decline to US$577 million in APE in 2025.

Our Thailand & Cambodia business remains well positioned in the market. Our partnership with Siam Commercial Bank (SCB) continues to be the main contributor to new business and maintained its number one market share position in Thailand bancassurance, and we remain the second largest insurer in new business sales[1].

NB CSM and VNB declined by 16 per cent to US$358 million and 18 per cent to US$242 million in 2025, respectively, impacted by lower APE and decline in margins from lower interest rates. Excluding the impact of lower interest rates, 2025 NB CSM margin and new business margin were broadly in line with that in 2024.

Japan

In the second half of 2025, we entered the individual savings market in Japan with the launch of a Japanese Yen single premium annuity (JSPA) product. Continued growth in our individual protection business, coupled with JSPA sales, supported an increase in Japan APE by 11 per cent to US$132 million in 2025.

APE growth was offset by lower new business margins primarily due to medical product repricing which resulted in 4 per cent decline in VNB to US$86 million in 2025, whilst NB CSM grew 10 per cent in 2025 to US$213 million contributed by reduction in expense overrun.

Emerging Markets

Emerging Markets reported strong APE growth of 27 per cent to US$529 million in 2025 despite ongoing headwinds in Vietnam.

NB CSM margin decreased 9.5 pps to 43.0 per cent and new business margin decreased 5.0 pps to 27.5 per cent, respectively, predominantly due to operating assumption changes updated at year-end 2024 and statutory tax changes. Excluding the impact of these, NB CSM margin and new business margin were broadly in line with 2024.

[1] According to Thai Life Assurance Association (TLAA), for the full year of 2025.

Profitability

Operating profit after tax

OPAT[1] was US$499 million in 2025 and increased by 5 per cent from 2024, driven by CSM growth and partly offset by the methodology refinement in Emerging Markets. There are three main components of OPAT, as shown in the table below.

Insurance service result increased by US$221 million to US$795 million in 2025 primarily driven by higher CSM release from new business and in-force growth.

Net investment result was US$272 million in 2025, which reduced by US$47 million from 2024. This was primarily driven by changes in asset allocations with a lower mix of equity securities, and timing of debt refinancing which resulted in higher interest income in 2024.

Other revenue and expenses were US$(413) million in 2025 compared to US$(302) million in 2024. Non-attributable expenses showed marginal growth in 2025 reflective of disciplined expense management across our Business Units and Group Office. Net other income and expenses in 2025 were impacted by the methodology refinement in Emerging Markets.

US$ millions, unless otherwise stated	**2025**	2024
CSM release	**737**	588
Operating variances	**51**	38
Risk adjustment release	**79**	64
Others	**(72)**	(116)
Insurance service result	**795**	574
Investment return	**2,339**	1,889
Net insurance/reinsurance finance expenses	**(2,067)**	(1,570)
Net investment result	**272**	319
Non-attributable expenses	**(381)**	(348)
Net other income and expenses	**(32)**	46
Other revenue and expenses	**(413)**	(302)
Operating profit before tax	**654**	591
Operating tax	**(161)**	(139)
Operating profit after tax	**493**	452
Operating profit after tax attributable to:		
Equity Holders of the Company	**499**	463
Shareholders of the Company	**437**	361
Perpetual securities	**62**	102
Non-controlling interests	**(6)**	(11)
Operating profit after tax	**493**	452
Adjusted basic OPAT per share (US cents)[1]	**35.60**	30.69

Notes:

(1) The adjusted weighted average number of ordinary shares outstanding for the year ended 31 December 2025 is 1,225,488,773 (2024: 1,178,205,907), which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed at the beginning of each reporting period. Refer to notes 1.2 and 5.4 in the consolidated financial statements for further information.

[1] Represents operating profit after tax attributable to Equity Holders of the Company, and is presented net of non-controlling interests.

OPAT by segment

Hong Kong & Macau OPAT increased by 24 per cent to US$270 million in 2025, primarily from higher CSM release driven by an increase in the CSM balance from in-force and new business growth.

Thailand & Cambodia OPAT increased by 18 per cent to US$187 million in 2025, supported by growing CSM release and an improvement in claims and persistency. This was partially offset by lower investment returns due to the changes in asset allocations with a lower mix of equity securities.

Japan OPAT declined by 5 per cent to US$186 million in 2025, primarily from persistency variances in a run-off portfolio.

Emerging Markets OPAT increased by 2 per cent to US$34 million in 2025 as CSM release growth and persistency improvement driving OPAT growth was offset by methodology refinement.

Corporate and Others operating loss after tax increased by 39 per cent to US$178 million, primarily from lower interest income in 2025. Interest income was higher in 2024 from increased cash holdings, owing to timing differences in the refinancing of borrowings in 2024. Tax increased in 2025 due to the recognition of GMT and higher withholding tax on higher dividend remittances from the operating subsidiaries in 2025. Group Office operating expenses remained broadly stable year-on-year.

US$ millions, except for percentages	**2025**	2024	**CER YoY**	AER YoY
Hong Kong & Macau	**270**	218	**24 %**	24 %
Thailand & Cambodia	**187**	148	**18 %**	27 %
Japan	**186**	193	**(5)%**	(4)%
Emerging Markets	**34**	32	**2 %**	6 %
Corporate and Others	**(178)**	(128)	**39 %**	39 %
OPAT [1]	**499**	463	**5 %**	8 %

Note:

(1) Represents operating profit after tax attributable to Equity Holders of the Company, and is presented net of non-controlling interests.

Operating expenses and expense ratio

Operating expenses increased by 8 per cent to US$1,112 million mainly from business growth, with total weighted premium income (TWPI) increasing by 14 per cent to US$7,783 million in 2025. The expense ratio improved by 100 basis points to 14 per cent for 2025, reflecting disciplined expense management across our Business Units and Group Office.

US$ millions, except for percentages	**2025**	2024	**CER YoY**	AER YoY
Operating expenses [1]	**1,112**	1,016	**8 %**	9 %
TWPI [1]	**7,783**	6,632	**14 %**	17 %
Expense ratio [2]	**14 %**	15 %	**n/a**	(1.0) pps

Note:

(1) Represents the amounts attributable to Equity Holders of the Company.

(2) Expense ratio is operating expenses expressed as a percentage of TWPI for the relevant period.

US$ millions, unless otherwise stated	**2025**	2024
Operating profit after tax	**493**	452
Tax on operating profit before tax	**161**	139
Operating profit before tax	**654**	591
Non-operating items:		
Short-term fluctuations in investment return related to equity securities, interests in investment funds and investment property	**(67)**	(38)
Other non-operating investment return	**(15)**	(40)
Loss component on onerous contracts	**42**	89
Market related non-operating items	**(40)**	11
Finance costs related to borrowings and long-term payables	**(244)**	(227)
M&A, business set up and restructuring related costs	**(20)**	(71)
IPO related costs including incentive costs	**(16)**	(11)
Implementation costs for IFRS 9 and 17 and Group-wide supervision	**(8)**	(36)
Other non-operating items	**(4)**	(73)
Non-market related non-operating items	**(292)**	(418)
Profit before tax	**322**	184
Tax on operating profit before tax	**(161)**	(139)
Tax impact from non-operating items	**(1)**	(35)
Net profit after tax	**160**	10
Net profit after tax attributable to:		
Equity Holders of the Company	**166**	24
Shareholders of the Company	**104**	(78)
Perpetual securities	**62**	102
Non-controlling interests	**(6)**	(14)
Net profit after tax	**160**	10
Adjusted basis earnings/(loss) per share (US cents) [1]	**8.45**	(6.67)

Note:

(1) The adjusted weighted average number of ordinary shares outstanding for the year ended 31 December 2025 is 1,225,488,773 (2024: 1,178,205,907), which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed at the beginning of each reporting period. Refer to notes 1.2 and 5.4 in the consolidated financial statements for further information.

Group embedded value

US$ millions, unless otherwise stated	2025	2024
Opening Group EV	**5,569**	5,682
Acquisitions & partnerships/discontinued business	**–**	(53)
Expected return on EV	**634**	618
VNB	**945**	834
Operating variances and assumption changes	**(32)**	(300)
Total EV operating profit	**1,547**	1,152
Economic variances and assumption changes	**(107)**	(194)
Other non-operating variances	**(148)**	(290)
Total EV profit	**1,292**	668
Capital movements	**466**	–
Corporate centre expenses	**(157)**	(121)
Financing	**(521)**	(329)
Foreign exchange movements	**200**	(278)
Closing Group EV	**6,850**	5,569
EV operating profit per share (US cents)[1]	**126.21**	97.75
EV per share (US$)[2]	**5.37**	4.73

Notes:

(1) The adjusted weighted average number of ordinary shares outstanding for the year ended 31 December 2025 is 1,225,488,773 (2024: 1,178,205,907), which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed at the beginning of each reporting period. Refer to notes 1.2 and 5.4 in the consolidated financial statements for further information.

(2) The number of ordinary shares outstanding as at 31 December 2025 is 1,276,005,277. The adjusted number of ordinary shares outstanding as at 31 December 2024 is 1,178,205,907, which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed as of the reporting date. Refer to notes 1.2 in the consolidated financial statements for further information.

Group EV as at 31 December 2025 was US$6,850 million, which increased by US$1,281 million from 31 December 2024, representing AER growth of 23 per cent and CER growth of 19 per cent.

EV operating profit in 2025 was US$1,547 million and increased by 33 per cent compared to 2024, primarily from strong new business growth and significant improvement in operating variances and operating assumption changes in 2025. Our operating leverage improved in 2025 with expense overrun of US$13 million in 2025 compared to US$59 million in 2024.

Economic variances and assumption changes were US$(107) million in 2025, primarily from economic assumptions update in reflecting year-end economic conditions and lower than expected return in private equity impacting economic variances.

Other non-operating variances include implementation costs for new accounting standards and other mandatory regulatory changes, IPO related costs including incentive costs, integration and restructuring related costs, mergers and acquisitions and one-off adjustments such as the impact of payments related to distribution agreements, and methodology and regulatory changes on EV. For 2025, other non-operating variances also included a negative impact from the GMT implementation of US$61 million.

Capital movements were from the gross proceeds from the IPO of US$466 million. The proceeds were utilised for our deleveraging and refinancing activities, which included the redemption of the US$750 million Perpetual Capital Securities with the redemption impact of US$214 million resulting in higher financing cost.

Positive foreign exchange movements were primarily from the Thai Baht appreciation against the US dollar in 2025.

cent in 2025 and our digital commerce channel's STU achieved 79 per cent in 2025. Together, these digital tools are transforming how FWD engages with customers and distributors.

In 2025, FWD Hong Kong & Macau also launched several innovative products, notably the GBAssure Outpatient Plan that meets rising demand for cross-border healthcare within the Greater Bay Area, offering comprehensive outpatient coverage across designated cities and with unique features. The recently launched indexed universal life (IUL) product caters to HNW and professional investor segments, combining flexible legacy planning with index-linked growth potential.

FWD Hong Kong & Macau's performance in 2025 reflects the successful execution of our strategic priorities and has positioned the business for continued growth in the Hong Kong and Macau insurance markets. We continue to focus on scaling our HNW proposition, enhancing digital capabilities, and deepening our multi-channel distribution reach to capture emerging opportunities across both onshore and offshore segments.

Financial highlights

FWD Hong Kong & Macau's overall new business sales increased by 51 per cent to US$1,207 million in 2025 compared to 2024, driven by our fast growing onshore and offshore sales, as well as our robust HNW businesses.

NB CSM increased by 64 per cent to US$684 million in 2025 compared to 2024, driven by new business sales growth and higher acquisition expense underrun.

VNB grew 44 per cent to US$478 million in 2025 compared to 2024, driven by growth in new business sales.

OPAT increased by 24 per cent to US$270 million in 2025 compared to 2024, primarily driven by higher CSM release driven by an increase in the CSM balance from in-force and new business growth.

Operational highlights – distribution

Asia is home to hundreds of millions of individuals who need life and health insurance protection but do not have the requisite knowledge of such products or lack potential access to traditional insurance distribution channels[1]. To address this issue, we have adopted a distribution model based on pillars of ***"Enhance, Extend and Empower"***:

- ***Enhance*** — We have enhanced traditional face-to-face channels with new technologies to help our bank partners, agents and brokers/IFAs engage and serve their customers in flexible, dynamic and digital ways.
- ***Extend*** — We have extended our reach to individuals underserved by traditional channels by offering multi-device mobile access, enabling our customers to assess their protection needs, understand our propositions, purchase our products and services, and submit claims. In addition, we leverage our digital commerce channels for online Direct-to-customer (D2C) sales and have extended our agency channel through our social media engagement platform.
- ***Empower*** — We have empowered our customers to celebrate living by providing clear and easy-to-understand information that helps them choose the right protection whenever, wherever and however through all our channels. Our approach combines simple propositions, advanced data analytics and high-quality sales leads. We also leverage AI for customer insights and personalised solutions while streamlining and simplifying the purchase journey. We continue to invest in AI-enabled sales capabilities and tailored distribution models to serve all customer segments, from micro-insurance customers to ultra-HNW clients.

We strive to broaden customer touchpoints by offering options for how they engage with us, based on their protection needs and preferred channels. Digitalisation of our distribution channels is a key element of this strategy, enabling us to expand reach, boost productivity, and deliver seamless experiences.

We distribute our products through a multi-channel distribution model, including bancassurance, agency, brokerage/IFA, as well as other channels, which include D2C distribution via digital commerce channels. In 2025, we continued to strengthen our distribution, with a focus on maintaining a diversified channel mix. The breakdown of the overall Group APE by distribution channels for bancassurance, brokerage/IFA, agency and others, was 37 per cent, 37 per cent, 19 per cent and 8 per cent, respectively, in 2025.

US$ millions, except for percentages	APE			VNB		
	2025	2024	**CER YoY**	**2025**	2024	**CER YoY**
Bancassurance	**900**	752	15 %	**373**	388	(8)%
Brokerage/IFA	**895**	589	51 %	**367**	265	38 %
Agency	**453**	414	8 %	**150**	127	16 %
Others	**198**	162	19 %	**61**	54	13 %
Less: Global minimum tax provision	**n/a**	n/a	n/a	**(7)**	n/a	n/a
Total	**2,446**	1,916	25 %	**945**	834	11 %

[1] According to NMG report, dated May 2025.

Consolidated statement of financial position

US$m	Notes	As at 31 December 2025	As at 31 December 2024
ASSETS			
Intangible assets	13	3,190	3,085
Investments in associates	14	460	438
Property, plant and equipment	15	152	139
Investment property	16	460	466
Insurance contract assets	17	715	683
Reinsurance contract assets	17	2,722	2,696
Financial investments	18,20		
At fair value through other comprehensive income debt securities		37,505	31,408
At fair value through profit or loss			
Debt securities		2,315	1,750
Equity securities		270	221
Interests in investment funds		10,761	9,103
Derivative financial instruments	19	407	285
Loans and deposits		938	902
		52,196	43,669
Deferred tax assets	10	323	176
Current tax recoverable		3	51
Other assets	21	655	622
Cash and cash equivalents	22	1,487	1,687
Total assets		62,363	53,712
LIABILITIES			
Insurance contract liabilities	17	49,653	41,646
Reinsurance contract liabilities	17	465	366
Investment contract liabilities	23	17	32
Borrowings	24	3,046	2,793
Derivative financial instruments	19	490	528
Provisions		42	40
Deferred tax liabilities	10	186	172
Current tax liabilities		305	147
Other liabilities	25	1,282	1,174
Total liabilities		55,486	46,898

Notes to the consolidated financial statements and material accounting policies

1. Corporate information

1.1 General information

FWD Group Holdings Limited 富衛集團有限公司 (the "Company") is an exempted company with limited liability incorporated under the laws of the Cayman Islands on 18 March 2013. The address of the Company's registered office is Vistra (Cayman) Limited, P.O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205, Cayman Islands.

The Company is a holding company. The Company and its subsidiaries (collectively, "FWD Group" or the "Group") are principally engaged in the provision of products and services focusing on life insurance. The Group also provides general insurance and investment related products and services.

The Company completed its initial public offering on the Main Board of The Stock Exchange of Hong Kong Limited under the stock code "1828" on 7 July 2025 (the "Initial Public Offering").

1.2 Significant events of the Group

Immediately prior to the completion of the Initial Public Offering, the Company underwent the below:

a. all Management Shares, Series P Conversion Shares and Series A, B-2 and B-3 Conversion Shares were mandatorily converted into 2,594,663,913 ordinary shares (which became 864,887,971 ordinary shares after the Share Consolidation as described below) of the Company through the consolidation, redesignation and reclassification of the Management Shares, Series P Conversion Shares and Series A, B-2 and B-3 Conversion Shares by operation of the laws of the Cayman Islands (the "Conversion of Shares"). After the Conversion of Shares, the Company only has ordinary shares in issue;

b. the authorised ordinary shares of the Company was increased from US$25m to US$51m; and

c. the issued and unissued ordinary shares of the Company with a nominal or par value of US$0.01 each were consolidated at a ratio of 1-for-3, such that the authorised ordinary share capital of the Company was consolidated from US$51m divided into 5,100,000,000 shares of a nominal or par value of US0.01 each, to US$51m divided into 1,700,000,000 shares of a nominal or par value of US$0.03 each (the "Share Consolidation").

Pursuant to the Initial Public Offering, 91,342,100 ordinary shares with a par value of US$0.03 each were issued at an offer price of HK$38.00 per share (the "Listing Price") with gross proceeds of US$442m. The Over-allotment Option, as defined in the Company's prospectus dated 26 June 2025, was partially exercised on 1 August 2025, pursuant to which there were 5,001,400 ordinary shares with a par value of US$0.03 each issued at the Listing Price with gross proceeds of US$24m on 6 August 2025.

In connection with the Initial Public Offering, the Group incurred listing expenses, which included professional fees, underwriting commissions and other fees.

- For the year ended 31 December 2025, the Group incurred listing expenses of US$15m, of which US$6m has been charged to the consolidated income statement of the Group and US$9m was accounted for as a deduction from share premium directly upon Initial Public Offering.
- As of 31 December 2024, the Group incurred listing expenses of US$37m, of which US$29m has been charged to the consolidated income statement of the Group and US$8m was accounted for as a deduction from share premium directly upon Initial Public Offering.

5. Segment information (continued)

5.1 Segment results

US$m	Hong Kong & Macau	Thailand & Cambodia	Japan	Emerging Markets	Corporate and Others	Total
Year ended 31 December 2025						
Insurance revenue	966	827	648	470	—	2,911
Insurance service expenses	(622)	(589)	(504)	(375)	—	(2,090)
Net expenses from reinsurance contracts held	(14)	(7)	(2)	(3)	—	(26)
Insurance service result	330	231	142	92	—	795
Investment return	1,320	522	130	360	7	2,339
Net finance income/(expenses) from insurance contracts and reinsurance contracts held and movement of investment contract liabilities	(1,275)	(469)	7	(330)	—	(2,067)
Net insurance and investment result	375	284	279	122	7	1,067
Other revenue	6	—	2	9	—	17
General and other expenses	(57)	(42)	(44)	(125)	(164)	(432)
Borrowings and other finance costs	(8)	(1)	(1)	(16)	(1)	(27)
Operating profit/(loss) before share of profit from associates	316	241	236	(10)	(158)	625
Share of profit from associates	—	—	—	29	—	29
Operating profit/(loss) before tax	316	241	236	19	(158)	654
Tax on operating profit/(loss) before tax	(46)	(54)	(50)	9	(20)	(161)
Operating profit/(loss) after tax	270	187	186	28	(178)	493
Operating profit/(loss) after tax attributable to:						
Equity Holders of the Company	270	187	186	34	(178)	499
Non-controlling interests	—	—	—	(6)	—	(6)
Key operating ratio						
Expense ratio	10.4 %	8.4 %	14.7 %	23.6 %	—	14.3 %
Operating profit/(loss) before tax includes:						
Operating expenses[1]	(303)	(221)	(181)	(243)	(164)	(1,112)

Note:

[1] Represents the amount attributable to the Equity Holders of the Company.

5. Segment information (continued)

5.2 Operating profit (continued)

Operating profit after tax is reconciled to net profit as follows:

US$m	Note	Year ended 31 December 2025	Year ended 31 December 2024
Operating profit after tax		493	452
Tax on operating profit before tax		161	139
Operating profit before tax	5.1	654	591
Non-operating items:			
Market related:			
Short-term fluctuations in investment return related to equity securities, interests in investment funds and investment property		(67)	(38)
Other non-operating investment return		(15)	(40)
Loss component on onerous contracts		42	89
		(40)	11
Non-market related:			
Finance costs related to borrowings and long-term payables		(244)	(227)
M&A, business set up and restructuring related costs		(20)	(71)
IPO related costs including incentive costs		(16)	(11)
Implementation costs for IFRS 9 and 17 and Group-wide supervision		(8)	(36)
Other non-operating items		(4)	(73)
		(292)	(418)
Profit before tax		322	184
Tax on operating profit before tax		(161)	(139)
Tax impact from non-operating items		(1)	(35)
Net profit		160	10
Operating profit after tax attributable to:			
Equity Holders of the Company		499	463
Shareholders of the Company		437	361
Perpetual securities		62	102
Non-controlling interests		(6)	(11)
		493	452

13. Intangible assets

US$m	Goodwill	Distribution rights	Computer software and others	Total
Cost				
As at 1 January 2024	1,569	1,712	324	3,605
Additions	—	25	62	87
Disposals	—	—	(8)	(8)
Foreign exchange movements	(7)	(28)	(11)	(46)
As at 31 December 2024	1,562	1,709	367	3,638
Additions	—	52	28	80
Disposals	—	—	(13)	(13)
Foreign exchange movements	36	75	3	114
As at 31 December 2025	1,598	1,836	385	3,819
Accumulated amortisation and impairment				
As at 1 January 2024	(34)	(239)	(178)	(451)
Amortisation charge for the year	—	(37)	(46)	(83)
Disposals	—	—	6	6
Impairment	(21)	—	(17)	(38)
Foreign exchange movements	—	6	7	13
As at 31 December 2024	(55)	(270)	(228)	(553)
Amortisation charge for the year	—	(31)	(45)	(76)
Disposals	—	—	12	12
Foreign exchange movements	1	(9)	(4)	(12)
As at 31 December 2025	(54)	(310)	(265)	(629)
Net book value				
As at 31 December 2024	1,507	1,439	139	3,085
As at 31 December 2025	1,544	1,526	120	3,190

Goodwill

Goodwill arises in respect of the Group's insurance business and is allocated to each segment as follows:

US$m	As at 31 December 2025	As at 31 December 2024
Hong Kong	915	915
Thailand	510	469
Japan	3	3
Emerging markets[1]	116	120
	1,544	1,507

Note:

[1] Includes goodwill of US$106m (2024: US$110m) and US$10m (2024: US$10m) from the operations in Indonesia and Vietnam, respectively, as at 31 December 2025.

17. Insurance and reinsurance contract balances (continued)

Insurance and reinsurance contracts (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (a) Reinsurance contracts held measured under the GMM (continued)

Analysis by remaining coverage and incurred claims (continued)

	Year ended 31 December 2024			
	Assets for remaining coverage		Assets for incurred claims	Total
US$m	Excluding loss-recovery component	Loss- recovery component		
Opening reinsurance contracts held assets	2,510	8	338	2,856
Opening reinsurance contracts held liabilities	(326)	1	23	(302)
Net opening balance	2,184	9	361	2,554
Allocation of reinsurance premium paid	(271)	—	—	(271)
Recoveries of incurred claims and other insurance service expenses	—	(7)	223	216
Recoveries and reversals of recoveries of losses on onerous underlying contracts	—	27	—	27
Adjustments to assets for incurred claims	—	—	(5)	(5)
Amounts recoverable from reinsurers	—	20	218	238
Investment components and premium refunds	(377)	—	377	—
Net expenses from reinsurance contracts	(648)	20	595	(33)
Effect of changes in non-performance risk of reinsurers	3	—	—	3
Net finance income/(expenses) from reinsurance	(267)	2	—	(265)
Foreign exchange movements	(217)	—	(10)	(227)
Total changes in the consolidated income statement and consolidated statement of comprehensive income	(1,129)	22	585	(522)
Cash flows				
Premium paid	808	—	—	808
Amounts received	—	—	(523)	(523)
Total cash flows	808	—	(523)	285
Net closing balance	1,863	31	423	2,317
Closing reinsurance contracts held assets	2,302	24	355	2,681
Closing reinsurance contracts held liabilities	(439)	7	68	(364)
Net closing balance	1,863	31	423	2,317

17. Insurance and reinsurance contract balances (continued)

Insurance and reinsurance contracts (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (a) Reinsurance contracts held measured under the GMM (continued)

Analysis by measurement component (continued)

	Year ended 31 December 2024					
			CSM			
US$m	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under modified retrospective transition approach	Contracts under fair value transition approach	Other contracts	Total
Opening reinsurance contracts held assets	2,670	87	4	156	(61)	2,856
Opening reinsurance contracts held liabilities	(417)	10	2	58	45	(302)
Net opening balance	2,253	97	6	214	(16)	2,554
CSM recognised for services received	—	—	(1)	(17)	(2)	(20)
Change in risk adjustment for non-financial risk for risk expired	—	(7)	—	—	—	(7)
Experience adjustments	(28)	—	—	—	—	(28)
Changes related to current services	(28)	(7)	(1)	(17)	(2)	(55)
Contracts initially recognised during the year	(158)	9	—	—	155	6
Changes in recoveries of losses on onerous underlying contracts that adjust the CSM	4	—	—	11	6	21
Changes in estimates that adjust the CSM	257	(6)	1	(98)	(154)	—
Changes related to future services	103	3	1	(87)	7	27
Adjustments to assets for incurred claims	(5)	—	—	—	—	(5)
Changes related to past services	(5)	—	—	—	—	(5)
Net expenses from reinsurance contracts	70	(4)	—	(104)	5	(33)
Effect of changes in non-performance risk of reinsurers	3	—	—	—	—	3
Net finance income/ (expenses) from reinsurance contracts	(270)	—	—	3	2	(265)
Foreign exchange movements	(215)	(8)	—	(8)	4	(227)
Total changes in the consolidated income statement and consolidated statement of comprehensive income	(412)	(12)	—	(109)	11	(522)
Cash flows						
Premium paid	808	—	—	—	—	808
Amounts received	(523)	—	—	—	—	(523)
Total cash flows	285	—	—	—	—	285
Net closing balance	2,126	85	6	105	(5)	2,317
Closing reinsurance contracts held assets	2,553	73	4	116	(65)	2,681
Closing reinsurance contracts held liabilities	(427)	12	2	(11)	60	(364)
Net closing balance	2,126	85	6	105	(5)	2,317

17. Insurance and reinsurance contract balances (continued)

Insurance and reinsurance contracts (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (b) Reinsurance contract held measured under the PAA

Analysis by remaining coverage and incurred claims

	Year ended 31 December 2025				
	Assets for remaining coverage		Assets for incurred claims		
US$m	Excluding loss-recovery component	Loss-recovery component	Estimates of PV of FCF	Risk Adjustment	Total
Opening reinsurance contracts held assets	2	—	12	1	15
Opening reinsurance contracts held liabilities	—	—	(2)	—	(2)
Net opening balance	2	—	10	1	13
Allocation of reinsurance premium paid	(10)	—	—	—	(10)
Recoveries of incurred claims and other insurance service expenses	—	—	10	—	10
Recoveries and reversals of recoveries of losses on onerous underlying contracts	—	—	—	—	—
Adjustments to assets for incurred claims	—	—	(3)	—	(3)
Amounts recoverable from reinsurers	—	—	7	—	7
Net expenses from reinsurance contracts	(10)	—	7	—	(3)
Foreign exchange movement	—	—	1	—	1
Total changes in the consolidated income statement and consolidated statement of comprehensive income	(10)	—	8	—	(2)
Cash flows					
Premium paid	6	—	—	—	6
Amounts received	—	—	(13)	—	(13)
Total cash flows	6	—	(13)	—	(7)
Net closing balance	(2)	—	5	1	4
Closing reinsurance contracts held assets	(2)	—	7	—	5
Closing reinsurance contracts held liabilities	—	—	(2)	1	(1)
Net closing balance	(2)	—	5	1	4

17. Insurance and reinsurance contract balances (continued)

Insurance and reinsurance contracts (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (b) Reinsurance contract held measured under the PAA (continued)

Analysis by remaining coverage and incurred claims (continued)

	Year ended 31 December 2024				
	Assets for remaining coverage		Assets for incurred claims		
US$m	Excluding loss-recovery component	Loss-recovery component	Estimates of PV of FCF	Risk Adjustment	Total
Opening reinsurance contracts held assets	(2)	1	20	1	20
Opening reinsurance contracts held liabilities	(1)	—	(1)	—	(2)
Net opening balance	(3)	1	19	1	18
Allocation of reinsurance premium paid	(18)	—	—	—	(18)
Recoveries of incurred claims and other insurance service expenses	—	—	16	—	16
Recoveries and reversals of recoveries of losses on onerous underlying contracts	—	(1)	—	—	(1)
Adjustments to assets for incurred claims	—	—	(6)	—	(6)
Amounts recoverable from reinsurers	—	(1)	10	—	9
Net expenses from reinsurance contracts	(18)	(1)	10	—	(9)
Total changes in the consolidated income statement and consolidated statement of comprehensive income	(18)	(1)	10	—	(9)
Cash flows					
Premium paid	23	—	—	—	23
Amounts received	—	—	(19)	—	(19)
Total cash flows	23	—	(19)	—	4
Net closing balance	2	—	10	1	13
Closing reinsurance contracts held assets	2	—	12	1	15
Closing reinsurance contracts held liabilities	—	—	(2)	—	(2)
Net closing balance	2	—	10	1	13

18. Financial investments (continued)

18.1 Debt securities (continued)

As at 31 December 2025, debt securities of US$4,588m (2024: US$3,954m), US$664m (2024: US$570m), US$18m (2024: US$18m) and US$6m (2024: US$6m) are restricted due to local regulatory requirements in Thailand, Macau, Indonesia and the Philippines, respectively.

As at 31 December 2025, debt securities of US$213m (2024: US$259m) are subject to repurchase and forward agreements, whereby securities are sold to third parties with a concurrent agreement to repurchase the securities at a specified date. The securities related to the repurchase and forward agreements are not derecognised from the consolidated statement of financial position, but are retained within the appropriate financial asset classification. During the term of the repurchase and forward agreements, the counterparty is restricted from selling or pledging the transferred debt securities. Refer to Note 25 for additional information on the associated liabilities.

18.2 Equity securities

Equity securities at fair value through profit or loss:

	Policyholder and shareholder investments		
US$m	Participating funds and other participating business with distinct portfolios	Other policyholder and shareholder investments	Total
31 December 2025	164	106	270
31 December 2024	130	91	221

18.3 Interests in investment funds

Interests in investment funds at fair value through profit or loss:

	Policyholder and shareholder investments			
US$m	Participating funds and other participating business with distinct portfolios	Other policyholder and shareholder investments	Unit-linked	Total
31 December 2025	4,208	1,983	4,570	10,761
31 December 2024	4,007	1,679	3,417	9,103

As at 31 December 2025, interests in investment funds of US$58m (2024: US$99m) are restricted due to local regulatory requirements in Macau.

18.4 Loans and deposits

US$m	As at 31 December 2025	As at 31 December 2024
Accreting notes and promissory notes	438	454
Term deposits	494	448
Other financial receivables	12	8
Provision for impairment	(6)	(8)
Total	938	902

Loans and deposits are measured at amortised cost. As at 31 December 2025, the accreting notes and promissory notes bear interest rates ranging from 3.8 per cent to 4.5 per cent (2024: 3.8 per cent to 4.5 per cent) per annum and are repayable upon maturity.

Certain term deposits of US$40m as at 31 December 2025 (2024: US$38m) are restricted due to local regulatory requirements.

20. Fair value measurement (continued)

20.1 Fair value measurements on a recurring basis (continued)

A summary of assets and liabilities carried at fair value on a recurring basis according to fair value hierarchy is given below:

	Fair value hierarchy			
US$m	Level 1	Level 2	Level 3	Total
31 December 2025				
Recurring fair value measurements				
Non-financial assets				
Investment property	—	—	460	460
Financial assets				
At fair value through OCI				
Debt securities	2,415	34,975	115	37,505
Government bonds	2,370	16,002	—	18,372
Government agency bonds	45	1,944	—	1,989
Corporate bonds	—	12,747	115	12,862
Structured securities	—	4,263	—	4,263
Others	—	19	—	19
At fair value through profit or loss				
Debt securities	—	2,268	47	2,315
Government bonds	—	8	—	8
Corporate bonds	—	1,303	—	1,303
Structured securities	—	957	47	1,004
Equity shares	109	—	161	270
Interests in investment funds	1,525	5,467	3,769	10,761
Derivative financial instruments	—	349	58	407
Total assets on a recurring fair value measurement basis	4,049	43,059	4,610	51,718
% of Total	8 %	83 %	9 %	100 %
Financial liabilities				
Investment contract liabilities without DPF	—	—	17	17
Derivative financial instruments	—	490	—	490
Total liabilities on a recurring fair value measurement basis	—	490	17	507
% of Total	— %	97 %	3 %	100 %

28. Risk management (continued)

Interest rate risk (continued)

The table below summarises the nature of the interest rate risk associated with financial assets and financial liabilities.

US$m	Variable interest rate	Fixed interest rate	Non-interest bearing	Total
31 December 2025				
Financial assets				
Debt securities	6,232	33,588	—	39,820
Cash and cash equivalents	1,487	—	—	1,487
Loans and deposits	8	930	—	938
Equity securities	—	—	270	270
Interests in investment funds	—	—	10,761	10,761
Derivative financial instruments	—	—	407	407
Accrued investment income	—	—	332	332
Other assets	—	—	239	239
Total financial assets	7,727	34,518	12,009	54,254
Insurance and reinsurance contract assets				
Insurance contract assets				715
Reinsurance contract assets				2,722
Total insurance and reinsurance contract assets				3,437
Financial liabilities				
Borrowings	991	2,055	—	3,046
Other liabilities	—	452	830	1,282
Derivative financial instruments	—	—	490	490
Total financial liabilities	991	2,507	1,320	4,818
Insurance and reinsurance contract liabilities				
Insurance contract liabilities				49,653
Reinsurance contract liabilities				465
Total insurance and reinsurance contract liabilities				50,118

28. Risk management (continued)

Foreign exchange rate risk (continued)

Hedge accounting (continued)

The table below summarises the instruments held by the Group to hedge exposures to changes in foreign exchange rate.

	Maturity			
Foreign exchange derivatives	1-6 months	6-12 months	Over 1 year	Total
31 December 2025				
Carrying amount (in US$m)				
Derivative assets	17	3	61	81
Derivative liabilities	—	—	(32)	(32)
Net exposure - notional amount (in US$m)	1,032	80	944	2,056
Weighted average contracted rate				
US$: JPY	—	—	112.9	
US$: THB	31.8	31.7	32.7	
JPY: US$	—	—	0.0092	
31 December 2024				
Carrying amount (in US$m)				
Derivative assets	3	2	17	22
Derivative liabilities	(7)	—	(84)	(91)
Net exposure - notional amount (in US$m)	478	69	757	1,304
Weighted average contracted rate				
US$: JPY	143.7	—	101.1	
US$: THB	33.8	35.9	35.7	
JPY: US$	—	—	0.0092	

Hedge ineffectiveness

Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument.

For hedges of foreign currency risk, the Group determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows, and enters into hedge relationships where the critical terms of the hedging instrument match with the terms of the hedged item. The Group therefore performs a qualitative assessment of effectiveness. If changes in circumstances affect the terms of the hedged item such that the critical terms no longer match exactly with the critical terms of the hedging instrument, the Group uses the hypothetical derivative method to assess effectiveness.

In hedges of foreign currency risk, ineffectiveness may arise if there are changes in the credit risk of the derivative counterparty. Hedging ineffectiveness in relation to the Group's hedges of foreign currency risk was insignificant during the years ended 31 December 2025 and 2024.

Supplementary embedded value information

1. Highlights

The embedded value ("EV") is a measure of the value of shareholders' interests in the distributable earnings from assets allocated to the in-force business after allowance for the aggregate risks in that business. The Group uses a traditional, deterministic discounted cash flow methodology to calculate its EV and value of new business ("VNB"). This methodology makes an implicit overall level of allowance for risk including the cost of investment return guarantees and policyholder options, asset-liability mismatch risk, credit risk, the risk that actual experience in future years differs from that assumed, and the economic cost of capital, through the use of a risk discount rate. The equity attributable to shareholders of the Company on the embedded value basis ("EV Equity") is the total of EV, goodwill and other intangible assets attributable to shareholders of the Company. More details on the EV results, methodology and assumptions are covered in later sections of this EV Disclosure report.

Summary of key metrics (US$ millions)

	As at 31 December 2025	As at 31 December 2024	Change CER	Change AER
EV Equity	10,128	8,736	12.1 %	15.9 %
Group Embedded value (EV)	6,850	5,569	18.9 %	23.0 %
Adjusted net worth (ANW)	3,293	2,597	19.7 %	26.8 %
Value of in-force business (VIF)	3,557	2,972	18.1 %	19.7 %
EV per share (US$)[1]	5.37	4.73	9.7 %	13.6 %
EV Equity per share (US$)[1]	7.94	7.41	3.5 %	7.1 %

	Twelve months ended 31 December 2025	Twelve months ended 31 December 2024	Change CER	Change AER
Value of new business (VNB)	945	834	10.5 %	13.3 %
Annualised premium equivalent (APE)	2,446	1,916	25.0 %	27.7 %
PV New Business Premium (PVNBP)	12,168	9,333	27.7 %	30.4 %
New business margin (% of APE)	38.6 %	43.5 %	(5.1) pps	(4.9) pps
New business margin (% of PVNBP)	7.8 %	8.9 %	(1.2) pps	(1.2) pps

	Twelve months ended 31 December 2025	Twelve months ended 31 December 2024	Change CER	Change AER
EV operating profit	1,547	1,152	32.9 %	34.3 %
EV operating profit per share (US cents)[2]	126.21	97.75	27.8 %	29.1 %
Underlying free surplus generation	893	722	24.9 %	23.6 %
Free surplus to fund new business	(36)	(14)	nm	nm
Net underlying free surplus generation	857	709	19.7 %	20.9 %
Basic net UFSG per share (US cents)[2]	69.93	60.16	15.1 %	16.2 %

Notes:

1. The number of ordinary shares outstanding as at 31 December 2025 is 1,276,005,277. The adjusted number or ordinary shares outstanding as at 31 December 2024 is 1,178,205,907, which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed as of the reporting date. Refer to note 1.2 in the consolidated financial statements for further information.
2. The adjusted weighted average number of ordinary shares outstanding for the year ended 31 December 2025 is 1,225,488,773 (2024: 1,178,205,907), which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed at the beginning of each reporting period. Refer to notes 1.2 and 5.4 in the consolidated financial statements for further information.

2. Embedded Value Results (Continued)

2.2 Reconciliation of ANW from IFRS Equity

Derivation of the consolidated ANW from IFRS equity (US$ millions)

	As at 31 December 2025	As at 31 December 2024
IFRS equity attributable to equity holders	**6,817**	**6,753**
Difference between IFRS and local statutory asset and liability items	(1,001)	(726)
Mark-to-market adjustment for property and mortgage loan and other investments, net of amounts attributable to participating funds	1,046	585
Elimination of intangible assets	(3,417)	(3,327)
Recognition of tax impacts	89	95
Recognition of non-controlling interest impacts of the above adjustments	(37)	(42)
Elimination of external perpetual securities	(203)	(741)
ANW	**3,293**	**2,597**

2.3 Breakdown of ANW

The breakdown of the ANW for the Group between the required capital, as defined in Section 4.5 of this EV Disclosure report, and the free surplus, which is the ANW in excess of the required capital, is set out below:

Free surplus and required capital for the Group (US$ millions)

	As at 31 December 2025			As at 31 December 2024		
	Op. Entity	Corp. and others	Total	Op. Entity	Corp. and others	Total
Free Surplus	4,552	301	4,853	4,081	357	4,438
Required Capital	1,924	—	1,924	1,929	—	1,929
Less: Financing	—	(3,484)	(3,484)	—	(3,770)	(3,770)
ANW	6,476	(3,183)	3,293	6,010	(3,413)	2,597

2. Embedded Value Results (Continued)

2.4 Value of New Business

The APE, VNB and new business margin (% of APE) for the Group for the twelve months ended 31 December 2025 is summarised in the table below. The VNB is defined as the present value, at the point of sale, of the projected after-tax statutory profits less the cost of required capital. Results are presented consistently with the segment information in the IFRS consolidated financial statements. The new business margin (% of APE) and new business margin (% of PVNBP) are defined as VNB expressed as a percentage of APE and PVNBP respectively. APE is defined as annualised regular premiums plus 10 per cent of single premiums and PVNBP is defined as the present value of projected new business premium. Section 4.1 of this EV Disclosure report contains a list of the entities included in this report and the mapping of these entities to Business Units for the purpose of this report.

The Group VNB for the twelve months ended 31 December 2025 was US$945 million, an increase of US$111 million, or 10.5 per cent on constant exchange rates ("CER") (13.3 per cent on actual exchange rates ("AER")), from US$834 million for the twelve months ended 31 December 2024. The Group new business margin (% of APE) for the twelve months ended 31 December 2025 was 38.6 per cent compared with 43.5 per cent for the twelve months ended 31 December 2024. The Group new business margin (% of PVNBP) for the twelve months ended 31 December 2025 was 7.8 per cent compared with 8.9 per cent for the twelve months ended 31 December 2024.

Summary of APE, VNB and New Business Margin (% of APE) by Business Unit (US$ millions)

	Twelve months ended 31 December 2025			Twelve months ended 31 December 2024		
	APE	VNB	New Business Margin (% of APE)	APE	VNB	New Business Margin (% of APE)
Hong Kong and Macau	1,207	478	39.6 %	802	333	41.5 %
– Onshore	595	250	42.1 %	376	166	44.2 %
– Offshore	612	227	37.1 %	426	167	39.1 %
Thailand and Cambodia	577	242	42.0 %	577	278	48.1 %
Japan	132	86	64.9 %	118	88	74.5 %
Emerging Markets	529	145	27.5 %	420	136	32.3 %
Global minimum tax provision	na	(7)	na	na	na	na
Group Total	2,446	945	38.6 %	1,916	834	43.5 %

APE and VNB Growth Rate by Business Unit

	Twelve months ended 31 December 2025 - Twelve months ended 31 December 2024			
Business Unit	APE Change in CER	APE Change in AER	VNB Change in CER	VNB Change in AER
Hong Kong and Macau	50.6 %	50.6 %	43.6 %	43.6 %
– Onshore	58.4 %	58.4 %	50.8 %	50.8 %
– Offshore	43.7 %	43.7 %	36.3 %	36.3 %
Thailand and Cambodia	(6.5)%	0.2 %	(18.5)%	(12.6)%
Japan	10.9 %	12.2 %	(3.5)%	(2.2)%
Emerging Markets	26.6 %	25.9 %	7.2 %	7.0 %
Global minimum tax provision	na	na	na	na
Group Total	25.0 %	27.7 %	10.5 %	13.3 %

2. Embedded Value Results (Continued)

2.5 Analysis of EV Movement

A breakdown of the EV movement at a consolidated group level is presented below.

Analysis of movement in EV (US$ millions)

	Twelve months ended 31 December 2025			Twelve months ended 31 December 2024		
	ANW	VIF	EV	ANW	VIF	EV
Opening EV Equity			8,736			8,867
Removal of goodwill and other intangible assets			(3,167)			(3,186)
Opening EV	2,597	2,972	5,569	2,856	2,826	5,682
Acquisitions & partnerships / Discontinued business	—	—	—	(59)	6	(53)
Expected return on EV	694	(60)	634	876	(258)	618
VNB	—	945	945	—	834	834
Operating variances and assumption changes	3	(35)	(32)	(142)	(158)	(300)
Total EV operating profit	697	850	1,547	735	417	1,152
Economic variances and assumption changes	74	(180)	(107)	78	(272)	(194)
Other non-operating variances	(49)	(99)	(148)	(341)	51	(290)
Total EV profit	721	571	1,292	472	196	668
Capital movements	466	—	466	—	—	—
Corporate centre expenses	(147)	(9)	(157)	(162)	41	(121)
Financing	(521)	—	(521)	(329)	—	(329)
Foreign exchange movements	177	23	200	(180)	(98)	(278)
Closing EV	3,293	3,557	6,850	2,597	2,972	5,569
Inclusion of goodwill and other intangible assets			3,279			3,167
Closing EV Equity			10,128			8,736
Closing EV per share (US$)[3]	na	na	5.37	na	na	4.73
Closing EV Equity per share (US$)[3]	na	na	7.94	na	na	7.41

Notes:

3. The number of ordinary shares outstanding as at 31 December 2025 is 1,276,005,277. The adjusted number or ordinary shares outstanding as at 31 December 2024 is 1,178,205,907, which has been adjusted on the basis that the Conversion of Shares and Share Consolidation were completed as of the reporting date. Refer to note 1.2 in the consolidated financial statements for further information.

2. Embedded Value Results (Continued)

2.5 Analysis of EV Movement (continued)

A breakdown of the EV movement at 31 December 2025 and 31 December 2024 is presented in the table above.

EV was US$6,850 million at 31 December 2025, an increase of 19 per cent on CER (23 per cent on AER) over the year from US$5,569 million at 31 December 2024. The increase was primarily driven by US$1,547 million from EV operating profit.

EV Equity was US$10,128 million at 31 December 2025, an increase of 12 per cent on CER (16 per cent on AER) over the year from US$8,736 million at 31 December 2024, after the inclusion of goodwill and other intangible assets of US$3,279 million.

EV operating profit grew by 33 per cent on CER (34 per cent on AER) to US$1,547 million (2024: US$1,152 million). Expected return on EV at 31 December 2025 increased to US$634 million (2024: US$618 million). VNB increased to US$945 million (2024: US$834 million). Overall operating experience variances and operating assumption changes amounted to US$(32) million (2024: US$(300) million). EV operating profit in 2025 increased, primarily from strong new business. Expense and commission variances in 2025 was US$(13) million (2024: US$(59) million) mainly due to improved expense overrun.

The VNB is calculated at the point of sale for business written during the year. The expected return on EV is the expected change in the EV over the year plus the expected return on the VNB from the point of sale to 31 December 2025. Operating experience variances reflect the impact on the ANW and VIF from differences between the actual experience over the year and that expected based on the operating assumptions.

The EV profit of US$1,292 million (2024: US$668 million) is the total of EV operating profit, economic variances, the effect of changes in economic assumptions and other non-operating variances.

Economic variances and assumption changes amounted US$(107) million (2024: US$(194) million) in 2025, primarily from economic assumptions update in reflecting year-end economic conditions and lower than expected return in private equity impacting economic variances.

Other non-operating variances amounted to US$(148) million (2024: US$(290) million), largely driven by implementation costs for new accounting standards and other mandatory regulatory changes, IPO related costs including incentive costs, integration and restructuring related costs, mergers and acquisitions and one-off adjustments such as the impact of payments related to distribution agreements and methodology and regulatory changes on EV. In 2025, other non-operating variances also included impact from FWD Reinsurance Global Minimum Tax implementation of US$(61) million.

The EV movement in relation to the Group Corporate Centre amounted to US$(211) million (2024: US$(450) million). It includes capital movements, corporate centre expenses and financing.

Positive foreign exchange movements were US$200 million (2024: US$(278) million) primarily from Thai Baht appreciation against US dollar in 2025.

3. Sensitivity Analysis (Continued)

The sensitivities tests performed on the consolidated VNB for the twelve months ended 31 December 2025 and 31 December 2024, together with the change in VNB expressed as a percentage of base case VNB. VNB does not include any allowance for acquisition expense overruns and commission overruns.

Sensitivity of VNB (US$ millions)

	As at 31 December 2025		As at 31 December 2024	
Scenario	VNB	Percentage change from base case	VNB	Percentage change from base case
Base case	951		834	
Impact of:				
Increase risk discount rate by 1.0%	(107)	(11.3)%	(93)	(11.1)%
Reduce risk discount rate by 1.0%	133	13.9 %	118	14.2 %
Increase interest rates by 0.5% p.a.[2]	48	5.0 %	53	6.4 %
Reduce interest rates by 0.5% p.a.[2]	(55)	(5.8)%	(52)	(6.3)%
Increase discontinuance and partial withdrawal rates by 10%	(51)	(5.4)%	(60)	(7.2)%
Reduce discontinuance and partial withdrawal rates by 10%	56	5.9 %	67	8.0 %
Increase mortality and morbidity rates and loss ratios by 10%	(91)	(9.5)%	(84)	(10.1)%
Reduce mortality and morbidity rates and loss ratios by 10%	89	9.4 %	85	10.1 %
Increase acquisition and maintenance expenses by 10%	(67)	(7.1)%	(59)	(7.1)%
Reduce acquisition and maintenance expenses by 10%	67	7.1 %	59	7.1 %
Appreciation of presentation currency by 5%	(24)	(2.6)%	(27)	(3.2)%
Depreciation of presentation currency by 5%	24	2.6 %	27	3.2 %
Reduce net investment returns for private equity assets by 1% p.a.	(12)	(1.2)%	(18)	(2.1)%

Notes:

2. FWD Japan and FWD Vietnam, for debt securities and derivatives with investment returns determined on a book yield basis, sensitivities have not been applied to the market values and investment returns for these securities.

Information for Shareholders

Review of Financial Statements

The Audit Committee has reviewed the consolidated financial statements of the Company for the year ended 31 December 2025, including the accounting principles and practices adopted by the Group.

Compliance with Corporate Governance Code

Throughout the year ended 31 December 2025, with the exception of Code Provision C.6.3, the Company complied with all applicable code provisions in the Corporate Governance Code set out in Appendix C1 to the Listing Rules. Code Provision C.6.3 provides that the company secretary should report to the chairman of the board and/or the chief executive. The Company operates under a variant of this model whereby the Company Secretary reports to the Group General Counsel, who is ultimately accountable for the company secretarial function of the Company and who reports to our Group Chief Financial Officer, who in turn reports directly to the Group CEO.

Purchase, sale or redemption of the listed securities of the Company

As announced by the Company:

(i) On 15 September 2025, the Company commenced a tender offer to purchase for cash any and all of the outstanding US$900 million 8.40 per cent Subordinated Notes due 2029. Pursuant to the offer, the purchase price per US$1,000 in principal amount is US$1,016.50. The settlement of the offer in respect of all the notes validly tendered and accepted for purchase by the Company pursuant to the offer, which amounted to US$539.61 million in aggregate principal amount, was completed on 24 September 2025. The outstanding notes with aggregate principal amount of US$360.39 million were fully redeemed at 101 per cent on 23 October 2025.

(ii) All the outstanding US$750 million Zero Coupon Subordinated Perpetual Capital Securities (comprising the US$500 million Zero Coupon Subordinated Perpetual Capital Securities consolidated and forming a single series with the US$250 million Zero Coupon Subordinated Perpetual Capital Securities) were fully redeemed at 100 per cent on 23 October 2025.

(iii) All of the abovementioned notes and capital securities have been cancelled and the listing of such notes and capital securities on HKEX has been withdrawn with effect upon the close of business on 4 November 2025.

Save as disclosed above, during the year ended 31 December 2025, neither the Company nor any of its subsidiaries purchased, sold or redeemed any of the listed securities (including treasury Shares, if any) of the Company. As at the date of this announcement, the Company does not hold any treasury Shares.

Events after the reporting period

Details of the significant events after the year ended 31 December 2025 are set out in note 35 to the consolidated financial statements.